Pricing Strategy Case Studies: Nestle and Netflix

Sahithyan K. (230557T)

Case Study 01: Nestle

Introduction

Nestle is a Swiss company with about 2,000 brands. Its prices are usually higher than store brands. It does not use one method everywhere. Each brand, region and customer group gets its own strategy, based mainly on how good customers think the product is.

Pricing strategies used by Nestle

Strategy	Evidence from the case
Perceived-value pricing	Price follows brand recognition and quality
Market-segment pricing	Maggi is cheap for the mass market
Bundle pricing	Maggi 16-pack, coffee with a creamer
Pack-size pricing	Mini cereal pouches, a price for each SKU
Promotional pricing	5–10% off at Walmart, Costco, Target
Competitor-based pricing	Teams track rivals' prices
Demand-based pricing	Cerelac costs more because demand is high
Product-line pricing	Nescafé $7.78, Nescafé Gold $15.80
Penetration pricing	Low prices to win new markets
Price skimming	Starts high, then falls
Geographic pricing	Prices rise when goods are exported

Analysis

Flexibility is Nestle's main strength. Each brand gets a price that suits its market. Pack sizes and product lines reach both budget and premium buyers, and a trusted name supports higher prices.

The weak points come from the same choices. Frequent 5–10% discounts teach shoppers to wait for a sale. Store brands win customers when money is tight. Many prices across regions and packs are hard to manage. And because the plan rests on perceived quality, one quality scare could damage it.

Recommendations

1. Use fewer deep discounts. Use bundles and loyalty points instead.
2. Use sales data to decide when and how much to discount.
3. Keep cheap small packs in price-sensitive markets.
4. Make the gap between standard and premium lines clear.
5. Use skimming for new products and penetration for new markets.
6. Keep regional price gaps fair and based on real costs.
7. Protect product quality. It is what customers pay for.

Conclusion

Nestle prices each brand separately, which gives it wide reach and good margins. Its biggest risks are heavy discounting and store brands. Fewer, smarter discounts and a clear price ladder would protect its premium image.

Case Study 02: Netflix

Introduction

Netflix holds about 51% of US streaming subscriptions. It offers no live sports or news. It competes on a large library and simple prices, and it raises those prices a little at a time.

Pricing strategies used by Netflix

Tiered pricing

Plan	Price / month	Screens	Quality
Basic	$9.99	1	480p
Standard	$15.49	2	1080p
Premium	$19.99	4	4K

All plans have the same shows. Customers pay for quality and screens. The tiers push people to upgrade.

Value-based pricing Netflix links price rises to what it adds: more shows, films and now games. The price follows the value, not just the cost.

Periodic price increases Each plan rose by about 11% ($1 to $2). Small rises with 30 days' notice hurt less than one big jump. As the market leader, Netflix can expect most users to accept them.

Subscription pricing A monthly fee gives steady income to pay for content. With no contract, customers can cancel at any time, which makes joining low-risk.

Penetration pricing A free first month makes it easy to join. Rival platforms use low prices to attract new users. Netflix, as the leader, can charge more.

Password-sharing crackdown People who shared passwords must now pay for their own account. That is a price rise for them, and it adds paying subscribers.

Analysis

Netflix's size spreads the cost of content over many subscribers. The plans are easy to understand because every tier has the same shows. Customers have accepted the small price rises so far.

The risk is customer patience. At nearly $20 a month, Netflix competes with every other subscription in the household budget. Rivals offer cheaper plans, ads and bundles, and Netflix has no ad tier in this case. Basic, at 480p on one screen, looks poor value.

Recommendations

1. Add a cheaper plan with ads.
2. Raise prices when big new shows or games launch.
3. Improve the Basic plan.
4. Charge a small fee for extra members.

5. Set prices by country.
6. Offer yearly plans and bundles with phone and internet providers.
7. Give discounts to users who are about to cancel.
8. Keep spending on original content. Price must match value.

Conclusion

Netflix combines tiers, value-based pricing and small regular rises. Its lead lets it charge more. Subscription fatigue and competition are the main threats. A cheaper ad plan and regional prices would help it keep subscribers while revenue grows.